

Tempus AI, Inc.
 TEM NASDAQ

Buy \$47.90 ▼ 3.41% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32 Market Cap \$8.60B

TEM: Reiterate Buy; Partnerships and FDA CDx Catalysts Intact

WHAT'S CHANGED

- TEM gave back -3.41% to \$47.90 on lighter volume (4.85M vs 5-day avg ~6.2M) after a 4-session rally from \$48.59 → \$49.59, suggesting profit-taking rather than thesis breakage; stock sits at just 10% of 52-wk range (\$41.73–\$104.32).
- Bullish options flow (P/C 0.38; unusual \$45.5 and \$63 June calls) and concentrated institutional sponsorship (ARK 5.5%, BLK 5.1%, Baillie Gifford 5.0%) contrasts with Lefkofsky's late-May cluster sales (~\$3.2M), a near-term overhang to monitor.

IMPLICATIONS

The June 1 FDA-cleared CDx and AI oncology platform upgrade, combined with new partnership announcements that drove a double-digit move, reinforce TEM's pivot from a genomics testing vendor to an AI-enabled multimodal data and Dx platform — the high-multiple narrative that institutional holders (ARK, Baillie Gifford) underwrite. With Tech +0.79%/+2.42% (5D) and risk-on rotation evident across Materials/Financials, TEM's underperformance today reflects idiosyncratic insider selling digestion rather than sector weakness. Near-term, the setup favors accumulation: stock sits near the lower decile of its 52-week range despite improving fundamental catalysts (CDx label expansion, AI applications revenue ramp, narrowing losses).

VALUATION

At \$8.6B market cap on ~\$1.29B FY26E revenue, TEM trades at ~6.7x EV/Revenue FY26E and ~5.2x FY27E — a meaningful discount to AI-Dx peers trading 8–12x despite comparable ~25–30% growth and superior multimodal data assets. Our \$68 PT (~42% upside) assumes re-rating to ~8.5x FY27E revenue as gross margins expand and the Data & AI segment scales toward 30%+ of mix. Multiple expansion is gated by Genomics gross margin trajectory and visible Data/AI revenue contracting wins.

KEY RISKS

- Continued insider distribution by CEO Lefkofsky pressures sentiment and signals supply overhang regardless of fundamentals.
- Cash burn and dilution risk given negative EPS (-\$1.05E FY26); equity raise at depressed prices would impair the bull thesis.
- Reimbursement/pricing pressure on oncology genomics tests and competitive intensity from NTRA, EXAS, and emerging AI Dx entrants.

RECENT NEWS

Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts Insider Monkey · 2026-06-10 09:24

Langston's | Equity Research Coverage

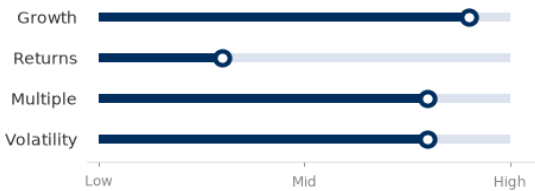
AI-Generated Pre-Market Brief | 2026-06-12 19:41 UTC

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Key Data

Price (USD)	\$47.90
12M Price Target	\$68.00
Upside / (Downside)	+42.0%
Market Cap	\$8.60B
FY2026E Revenue	\$1,290M
FY2027E Revenue	\$1,650M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$49.00	\$42.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$92.00	\$68.00	\$34.00
2 Years	\$125.00	\$85.00	\$30.00
5 Years	\$210.00	\$125.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Materials (+1.86%/+3.05%), Technology (+0.79%/+2.42%)

COLD SECTORS: Energy (+0.89%/-0.07%), Utilities (+1.00%/+0.32%)

ROTATION WATCH: Capital is rotating into cyclical and tech beta on improved risk appetite; AI-themed healthcare names like TEM sit at the intersection but need stock-specific catalysts to participate.

BYPRODUCT PLAY: Continued enterprise AI infrastructure spend benefits TEM's Data licensing business indirectly — pharma R&D budgets for AI-enabled trial design and target discovery are an under-appreciated 2H26 driver.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): MRD/oncology leadership and consistent revenue beats have driven multiple expansion vs. Dx peers, with cash flow inflection underway.
- VEEV (Veeva Systems): Life sciences SaaS comp trading at premium multiple on durable 15%+ growth and pristine margins — sets the aspirational benchmark for TEM's Data segment.

TEM CONTEXT: TEM is lagging — at just 10% of its 52-week range while NTRA/VEEV trade near highs, reflecting unresolved profitability questions and insider selling. Relative weakness creates asymmetric setup if FY26 execution validates the AI/Data narrative.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$44-48 on pullbacks; add through \$52 on volume confirmation

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration <20% YoY, Genomics gross margin contraction, or material data-partner loss

Hedging: Pair short vs. high-multiple Dx peer (e.g., NTRA/EXAS) or long-dated \$35 puts